

Castanea Partners
Fund III, L.P.

*Financial statements as of and for the six
months ended December 31, 2024*

Castanea Partners Fund III, L.P.
Balance Sheet

December 31, 2024

Assets

Portfolio investments, at fair value (cost \$22,027,068)	\$ -
Cash and cash equivalents	<u>10,688,843</u>

Total Assets

\$ 10,688,843

Liabilities

Accrued professional fees	\$ <u>40,088</u>
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Partners' Capital

General partner	(2,236,433)
Limited partners	<u>12,885,188</u>
Total partners' capital	<u>10,648,755</u>

Total Liabilities and Partners' Capital

\$ 10,688,843

The accompanying notes are an integral part of these financial statements.

Castanea Partners Fund III, L.P.
Statement of Portfolio Investments
December 31, 2024

<u>Company/Instrument</u>	<u>Number of Shares/Units</u>	<u>Cost of Investment</u>	<u>Estimated Market or Fair Value</u>	<u>Percentage of Partners' Capital</u>
Thorley Industries LLC (1) Preferred Units	5,748,325	\$ <u>22,027,068</u>	\$ <u>-</u>	<u>0.00%</u>
Total Portfolio Investments		\$ <u>22,027,068</u>	\$ <u>-</u>	<u>0.00%</u>

Country and Industry

(1) United States; Wholesale Marketing

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Castanea Partners Fund III, L.P.
Statement of Operations
For the six months ended December 31, 2024

Expenses

Professional fees and other operating expenses	\$ <u>100,000</u>
Total expenses	<u>100,000</u>
Net investment loss	<u>(100,000)</u>
 Net realized gain on sale of portfolio investments	 <u>134,672</u>
 Net increase in partners capital from operations	 <u>\$ 34,672</u>

The accompanying notes are an integral part of these financial statements.

Castanea Partners Fund III, L.P.
Statement of Changes in Partners' Capital
For the six months ended December 31, 2024

	<u>Total capital commitment</u>	<u>Partners' equity at July 1, 2024</u>	<u>Return of tax distribution</u>	<u>Allocation of operating loss</u>	<u>Net realized gain</u>	<u>Allocation of carried interest</u>	<u>Partners' equity at December 31, 2024</u>	<u>Unfunded commitment December 31, 2024</u>
<u>General Partner</u>								
Castanea Partners Fund GP III, LLC	\$ 4,335,354	\$ (2,218,454)	675	- \$	1,346	(20,000)	(2,236,433)	1,126,779
<u>Limited Partners</u>								
The Trustees of Princeton University	80,000,000	3,191,221	12,450	(19,606)	24,862	3,920	3,212,847	3,051,670
Century Omnibus Holdings, LLC	64,000,000	2,571,564	9,960	(15,686)	19,879	3,136	2,588,853	2,459,340
Massachusetts Institute of Technology	40,000,000	1,462,883	6,225	(9,192)	12,424	1,838	1,474,178	1,842,613
MIT Private Equity Fund III, L.P.	10,000,000	232,551	1,556	(1,838)	3,106	368	235,743	1,256,621
238 Plan Associates	16,000,000	607,412	2,490	(3,676)	4,970	736	611,932	737,049
Commonfund Private Equity Partners VII, L.P.	25,000,000	528,457	3,891	(4,902)	7,765	980	536,191	2,983,160
Commonfund Private Equity Partners VI, L.P.	25,000,000	528,457	3,891	(4,902)	7,765	980	536,191	2,983,160
The Wellcome Trust	50,000,000	473,035	7,781	(9,804)	15,530	1,960	488,502	5,966,322
University of Virginia	24,000,000	933,916	3,735	(6,128)	7,455	1,226	940,204	788,787
The J. Paul Getty Trust	25,000,000	520,048	3,891	(6,128)	7,765	1,226	526,802	2,349,601
Brown University	16,000,000	636,189	2,490	(3,922)	4,970	784	642,511	610,335
TIFF Private Equity Partners 2007, LLC	16,305,732	268,563	2,538	(3,996)	5,065	800	272,970	1,532,482
TIFF Partners V-U.S., LLC	3,694,268	60,830	575	(906)	1,147	182	61,828	347,204
The Rockefeller Foundation	13,000,000	376,432	2,023	(3,676)	4,038	736	379,553	521,670
Trustee of The Oxford Funds: Endowment Master	10,000,000	30,813	1,556	(2,450)	3,106	490	83,515	939,838
The Anderson Living Trust U/A/D 1/22/98	2,640,000	71,969	411	(808)	820	162	72,554	17,080
Anvest L.P.	560,000	16,390	87	(172)	174	34	16,513	3,615
The Baker Revocable Trust U/A/D 2/3/03	2,720,000	89,520	423	(834)	845	166	90,120	17,598
Saunders Holdings L.P.	480,000	13,545	75	(148)	149	30	13,651	3,103
The Wythes Living Trust U/A/D 7/21/87	4,000,000	79,008	623	(980)	1,242	196	80,089	376,117
The Younger Living Trust U/A/D 1/20/95	800,000	20,263	125	(246)	249	50	20,441	5,173
	429,200,000	12,765,066	66,796	(100,000)	133,326	20,000	12,885,188	28,782,538
All Partners	\$ 433,535,354	\$ 10,546,612	\$ 67,471	\$ (100,000)	\$ 134,672	\$ -	\$ 10,648,755	\$ 29,919,317

Castanea Partners Fund III, L.P.
Statement of Cash Flows
For the six months ended December 31, 2024

Cash flows from operating activities:

Net increase in partners' capital from operations	\$ 34,672
Adjustments to reconcile net increase in partners capital from operations to net cash provided by operating activities:	
Increase in accrued professional fees	15,534
Return of tax distribution	67,471
Decrease in tax receivable	<u>582,130</u>
Net cash provided by operating activities	699,807
Net change in cash and cash equivalents for the period	699,807
Cash and cash equivalents at beginning of the year	<u>9,989,036</u>
Cash and cash equivalents at December 31, 2024	<u>\$ 10,688,843</u>

The accompanying notes are an integral part of these financial statements.

CASTANEA PARTNERS FUND III, L.P.

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE six MONTHS ENDED DECEMBER 31, 2024

1. ORGANIZATION

Castanea Partners Fund III, L.P. (the “Partnership”) is a limited partnership organized under the laws of the State of Delaware pursuant to an Amended and Restated Agreement of Limited Partnership (the “Agreement”) dated July 13, 2007, and amended June 30, 2010. Certain capitalized terms throughout these financial statements are defined in the Agreement. The Partnership’s principal activity is to make investments in equity and other interests in business organizations with the principal objective of appreciation of capital invested.

Castanea Partners Fund GP III, LLC is the general partner of the Partnership (the “General Partner”) and is responsible for advising the Partnership on the identification, evaluation, structuring, and negotiation of investment and divestment transactions with respect to portfolio investments. The General Partner is also responsible for administering the day-to-day operations of the Partnership. The General Partner has engaged Castanea Partners, Inc. as management company to the Partnership (the “Management Company”) to perform the responsibilities described above. See Note 4 regarding the management fee.

At December 31, 2024 the General Partner and its affiliates (together, the “GP Investors”) have committed \$82,000,000 to the investment program of the Partnership in accordance with Section 8.2.1 of the Agreement. Such commitment may be satisfied by making capital contributions to the Partnership or its parallel funds, through coinvestments alongside the Partnership, or by utilizing Waived Fee Obligations. The portion committed to the parallel funds and coinvestments (thus, not included in these financial statements) is referred to herein as the GP Investor Non-Fund Commitment, and represented \$77,664,646 at December 31, 2024.

The combined committed capital of the Partnership and the GP Investor Non-Fund Commitment was \$511,200,000 at December 31, 2024.

The term of the Partnership ended on December 31, 2021. The Partnership has commenced the orderly liquidation of its remaining assets in the manner set forth in the Agreement.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting—The accompanying financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is an investment company and accordingly, follows the investment company accounting and reporting guidance in accordance with GAAP.

Portfolio Investments — Investments are reflected on the Balance Sheet at fair value with changes in unrealized gains and losses resulting from changes in fair value reflected in the

Statement of Operations as “net change in unrealized appreciation of portfolio investments.” See Note 3 regarding fair value measurements.

Valuation Techniques and Process — In the absence of observable market prices, the Partnership values its investments at fair value using valuation methodologies applied on a consistent basis. The General Partner’s determination of fair value is then based on the best information available in the circumstances, and may incorporate the General Partner’s own assumptions (including assumptions the General Partner believes market participants would use in valuing the investment) and involves a significant degree of judgment, taking into consideration a combination of internal and external factors, including the appropriate risk adjustments for nonperformance and liquidity risks.

Fair value is determined by reference to information including the following: projected sales; net earnings; earnings before interest; taxes; depreciation, and amortization (EBITDA); projected cash flows; public market or private transactions; valuations for comparable companies; recent purchases of the same or similar securities; and consideration of any other pertinent information including the types of securities held and restrictions on disposition. Valuations may be derived using present values or the discounted cash flow method and by reference to observable valuation measures for comparable companies or transactions (for example, multiplying a key performance metric of the investee company, such as EBITDA, by a relevant valuation multiple observed in the range of comparable companies or transactions), adjusted by the General Partner for differences between the investment and the referenced comparables. Investments may also be valued at cost for a period of time after an acquisition as the best indicator of value.

The valuation process entails valuing investments on a quarterly basis, taking into consideration any changes in the Partnership’s discounted cash flow projections and exit multiple assumptions, as well as any changes in economic or other relevant conditions, and valuation models are updated accordingly. The valuations are reviewed internally by a valuation committee, which consists of the managing partners and the chief financial officer.

Due to the absence of readily determinable fair values and the inherent uncertainty of valuations, the estimated fair values for private investments may differ significantly from values that would have been used had a ready market for the securities existed, and the differences could be material.

The values assigned to investments are based upon available information and do not necessarily represent amounts that might ultimately be realized, since such amounts depend on future circumstances and cannot be reasonably determined until the individual positions are liquidated.

Investment Income — Interest income is recorded on an accrual basis.

Cash and Cash Equivalents — The Partnership defines as cash equivalents all highly liquid investments with an original maturity of three months or less. The Partnership maintains all its cash and cash equivalent balances with one financial institution. These balances may fluctuate significantly during the year.

Professional Fees—In accordance with Section 6.1 of the Agreement, the Partnership shall pay all reasonable expenses of legal, accounting, audit, investment banking, tax preparation, consulting, research, due diligence and other professional services to the Partnership, to the

extent that they are not reimbursed by entities in which the Partnership invests or proposes to invest. These expenses are recognized as services are incurred.

Income Taxes — No provision for income taxes has been made in the accompanying financial statements, as the partners are individually responsible for reporting income or loss based on their respective share of the Partnership's income or expenses for income tax purposes. The Partnership files U.S. federal and state tax returns. The tax years of 2021, 2021 and 2023 of the Partnership remain subject to examination by U.S. federal and state tax authorities.

The Partnership follows the Income Taxes topic of the Accounting Standards Codification, which clarifies the accounting for uncertainty in income taxes recognized in an entity's financial statements, and prescribes a recognition threshold and measurement attribute for financial statement recognition and measurement of a tax position taken or expected to be taken. At December 31, 2024 there were no reserves recorded for uncertain tax positions.

Indemnifications and Guarantees—The General Partner, on behalf of the Partnership, enters into certain arrangements that contain a variety of indemnifications. The Partnership's maximum exposure under these arrangements is unknown. The Partnership has not had prior claims or losses pursuant to these contracts.

Use of Estimates—The preparation of financial statements in accordance with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of income and expenses during the reporting period. Actual results could differ from those estimates and the differences could be material.

3. INVESTMENTS

Fair Value Measurements — GAAP establishes a fair value hierarchy which prioritizes and ranks the level of market price observability used in measuring investments at fair value. Market price observability is impacted by a number of factors, including the type of investment, the characteristics specific to the investment, and the state of the marketplace including the existence and transparency of transactions between market participants. Investments with readily-available actively quoted prices or for which fair value can be measured from actively-quoted prices in an orderly market will generally have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.

Investments measured and reported at fair value are classified and disclosed in one of the following categories based on inputs:

Level I — Quoted prices are available in active markets for identical investments as of the reporting date. The types of investments which generally would be included in Level I include listed equity securities and listed derivatives. As required by GAAP, the Partnership, to the extent that it holds such investments, does not adjust the quoted price for these investments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

Level II — Pricing inputs are observable for the investments, either directly or indirectly, as of the reporting date, but are not the same as those used in Level I. Fair value is determined through the use of models or other valuation methodologies. The types of investments which generally would be included in this category include publicly-traded securities with restrictions on disposition.

Level III — Pricing inputs are unobservable for the investments and include situations where there is little, if any, market activity for the investments. The inputs into the determination of fair value require significant judgment or estimation by the General Partner. The types of investments which generally would be included in this category include debt and equity securities issued by private entities.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the determination of which category within the fair value hierarchy is appropriate for any given investment is based on the lowest level of input that is significant to the fair value measurement. The Partnership's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment, and considers factors specific to the investment.

Investment Risk Factors and Concentration of Investments — The General Partner seeks investment opportunities that offer the possibility of attaining substantial capital appreciation. Certain events particular to each industry in which the Partnership's investments conduct their operations, as well as general economic and political conditions, including an increase in interest rates, may have a significant negative impact on the operations and profitability of the Partnership's investments and/or on the fair value of the Partnership's investments.

The above events are beyond the control of the Partnership and cannot be predicted. Furthermore, the ability to liquidate investments and realize value is subject to significant limitations and uncertainties. There may also be risk associated with the concentration of investments in one geographic region or in certain industries.

4. MANAGEMENT FEE

In accordance with Section 6.2 of the Agreement, the Partnership shall pay an annual management fee (the "Management Fee") to the Management Company. The Management Fee is governed by an Investment and Advisory Agreement (the "Advisory Agreement") between the Partnership and the Management Company, which describes the services to be rendered and the method for calculating the fee. The Advisory Agreement further states that the Management Fee will not exceed, on an annualized basis, 2.5% of the aggregate amount of the capital commitments to the Partnership as of a the Specified Date for periods prior to the Commitment Termination Date, nor will it exceed, on an annualized basis, 1.5% of the Remaining Capital Base for the periods on and after the Commitment Termination Date. The Management Fee has been reduced by 50% of any Monitoring Fees allocable to the Partnership. Monitoring Fees include any fees received by the Management Company in connection with providing management, advisory or other similar services to any Portfolio Company held by the Partnership.

The Management Company may, prior to the start of its fiscal year, waive all or a portion of its management fee payments to be received in that fiscal year ("Waived Fee Amount").

Any Waived Fee Amount will reduce, on a dollar-for-dollar basis, the amount of capital contributions that the General Partner would otherwise be required to make in respect of its commitment to fund portfolio investments. The limited partners will be required to make additional capital contributions ("Waived Fee Contribution") to satisfy such shortfall, pro rata, in accordance with their respective commitments, up to the amount of the Waived Fee Amount. Through December 31, 2024, the Partnership's cumulative Waived Fee Amount was \$1,725,000 of which all was waived during the period from July 13, 2007 (commencement of operations) to June 30, 2017.

5. ALLOCATIONS AND DISTRIBUTIONS

Pursuant to the terms of the Agreement, the timing of distributions made by the Partnership will be determined by the General Partner in its sole discretion; provided, however, that proceeds received from the sale or exchange of all or a portion of a portfolio investment will be distributed within 90 days of receipt by the Partnership and that other portfolio income received in cash will be distributed at least annually. The General Partner has the right to reduce these and other distributions, in its discretion, to pay or provide reserves for fees, expenses and liabilities of the Partnership.

Distributions of proceeds from the disposition of the Partnership's portfolio investments and other income attributable to those investments will initially be apportioned among the Partners in proportion to their relative Actual Contributions with respect to such portfolio investment.

During any period in which the Fair Value Test is satisfied, the amounts distributed to Limited Partners according to the preceding paragraph will be reapportioned as follows:

- a) First, 100% to the Limited Partners in an amount equal to their Unrecouped Capital Contributions to date;
- b) Second, 100% to the Limited Partners in an amount equal to their preferred returns as of such date;
- c) Third, 100% to the General Partner until cumulative distributions to the General Partner pursuant to this clause (c) equal 20% of the total cumulative distributions pursuant to clause (b) above and this clause; and
- d) Thereafter, 20% to the General Partner and 80% to the Limited Partners.

The Fair Value Test will be satisfied if, at the time of a proposed distribution, the net asset value of the Partnership reduced by the proposed distribution is at least equal to 120% of the excess of the Actual Contributions of Limited Partners over the amount of the proposed and all previous distributions made to the Limited Partners. The Fair Value Test will also be satisfied during any period in which Limited Partners have received distributions, since inception of the Partnership, at least equal in the aggregate to their Actual Contributions.

The Partnership may make tax distributions in cash to each partner in amounts intended to enable taxable partners to defray their income tax liability attributable to their participation in the Partnership.

Distributions of income earned from short-term investments will be made to all Partners in proportion to their respective capital contributions that generated such income.

General Partner Clawback—If, after the Partnership has made its final liquidating distribution, the General Partner has received cumulative Carried Interest Distributions in excess of its Target Carried Interest, the General Partner will return to the Partnership the amount of that excess, net of any taxes. The General Partner agrees to cause each of its members to execute a guarantee in favor of the Partnership providing that such member shall be personally liable for such member's share of such contribution obligation (it being understood that no such member shall have any liability in respect of any other such member's share of such contribution obligation).

Allocations—The income, expenses, gains, losses, deductions and credits of the Partnership shall be allocated for income tax purposes among the Partners so as to conform, in the judgment of the General Partner, as nearly as practicable with the related distributions.

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